



VIPUL SHAH

“ Every 747 landing in India can potentially bring in more than 300 laptops duty free ”

Dear minister, lend me an ear

By the time you read this, the Union Budget may just be a few days away, or perhaps been announced. The chaos that the Indian intelligentsia was predicting has been mitigated, thanks to some astute appointments by Prime Minister Manmohan Singh in key positions.

P Chidambaram as Finance Minister and Cable TV czar Dayanidhi Maran as minister for information technology and telecommunications are names that will create hope among the middle class rather than despair.

I guess it is up to the Indian citizenry to support this team, whereas the team itself has its work cut out—relook at the country's technology infrastructure, usher in a technology revolution; not by handing out laptops to farmers, but by promoting development in education.

Having said that, may I take the liberty to present my wish list for the finance and IT ministers for the years ahead:

■ Dear Sirs, can you please visit a few countries like Singapore, South Korea, Japan, USA and Australia, and understand from them as to how, despite their population being a fraction of ours (some of them less populated than our metros), manage to give 1.5 Mbps cable Internet access for \$40 a month (Singapore), and a 12 Mbps DSL internet in Japan for \$22 a month?

In Mumbai, I pay an equivalent of \$24 a month for a measly 48 Kbps cable Internet connection from Sify. Please find out where we lag behind, and correct it before it's too late. Many ambitious people in the age group of 18 to 40 years will be able to employ themselves by setting up a “one man BPO or a call centre”, even while their client could be a cousin who owns a motel out in the US. The technology to divert calls from American numbers to India via VoIP phones is already in place with Vonage; only the last mile costing remains an issue.

■ PC penetration in India is pathetically low, and it's only a matter of time before China catches up on us in software development. Where will that leave us then? Right now, a typical Indian family income earns a fraction of its American or British counterpart. But high import duties, octroi and sales taxes make PCs still unaffordable. Even if they were removed, and the PC were to cost the same as in the US, with current Indian salaries it is a difficult job. Perhaps you could do us simpletons a favour by reducing tax rates for PC owners.

■ Consider cyber cafes to be a reincarnation of the public telephones revolution in the '80s. If we treat cyber cafes as essential utilities, imagine the amount of employment it would generate, and also at the same time provide PC and Internet access to lakhs of people for prices as low as Rs 10 per hour.

■ Treat PDAs, PDA phones, and mobile phone as same for the sake of customs and help create a new generation of software developers for these devices. If duties on these devices are low or zero they will become more accessible. If we don't play with devices, we don't understand them and we don't develop software for the same. Also, removing arbitrary classifications for duty may help.

Today, an individual can import a laptop by not paying any duties, but he cannot import a palmtop. One can bring in a laptop as part of personal baggage, but commercial imports are not duty free. This only helps create a huge grey market. Every 747 landing in India can bring in more than 300 laptops duty-free!

Duties on mobile phones have been lowered to reasonable levels, but accessories that will take it one step further are charged high duties. This means that today, you get every model of mobile phones with bills and warranty, but Bluetooth handsets are still smuggled in. A PDA-phone attracts low duty as it is considered a mobile phone, but a device that's just a PDA still attracts high duty. These are irrational duties that ought to be removed.

■ Today, one can courier anything out of the country without any documentation. Anything that is, except electronics. Courierring electronics abroad needs all sorts of invoices in Customs format, valuation, and IEC registration. This is stupid; please scrap it. No one has ever smuggled electronics out of this country and it will never happen in foreseeable future. There is no need to crack down on it. Many electronics goods are returned by people who get them for a review, or are being returned to the manufacturer because they are defective.

■ Make direct phone numbers of all bureaucrats and government officers available online. Citizens can then find out if a particular officer is available or not. Perhaps, you can start with all departments under your ministries.

Dear Ministers, I would be happy as a citizen of India if you'd look into these issues soon. 

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